

ECONOMY

LECTURES



CONCEPTS OF GDP CALCULATION

MODULE - 20

ECONOMY

PRIMARY

SECONDARY

TERTIARY



1



2



3

TOTAL FINAL VALUE

GDP

GDP

MARKET VALUE OF FINAL GOODS AND SERVICES

1

Produced within a financial year by various factors of production



2

Within the country's borders



3

Irrespective of ownership



DOMESTIC TERRITORY

1



+ upto 12 nautical miles

2



Ships and aircrafts owned and operated by normal residents between two or more countries.

DOMESTIC TERRITORY

3



Fishing vessels, oil and natural gas rigs and floating platforms operated by residents in international waters

4



Embassies, consulates and military establishments of a country located abroad

CIRCULAR FLOW OF INCOME

ASSUMPTIONS

1 NO GOVERNMENT



सत्यमेव जयते

भारतीय डाक



India Post

2 NO SAVINGS

3 NO EXTERNAL TRADE



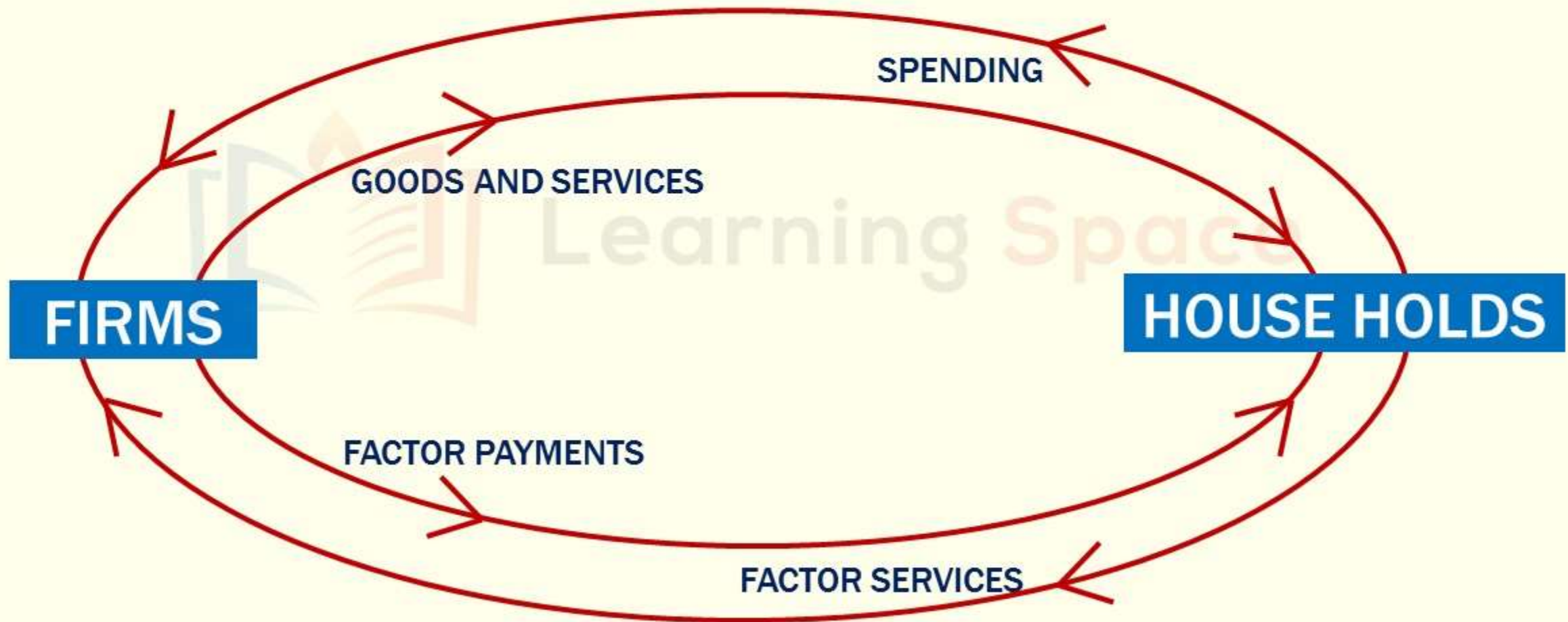
IDEAL SITUATION

1 Aggregate expenditure on goods and services produced by the firms in the economy

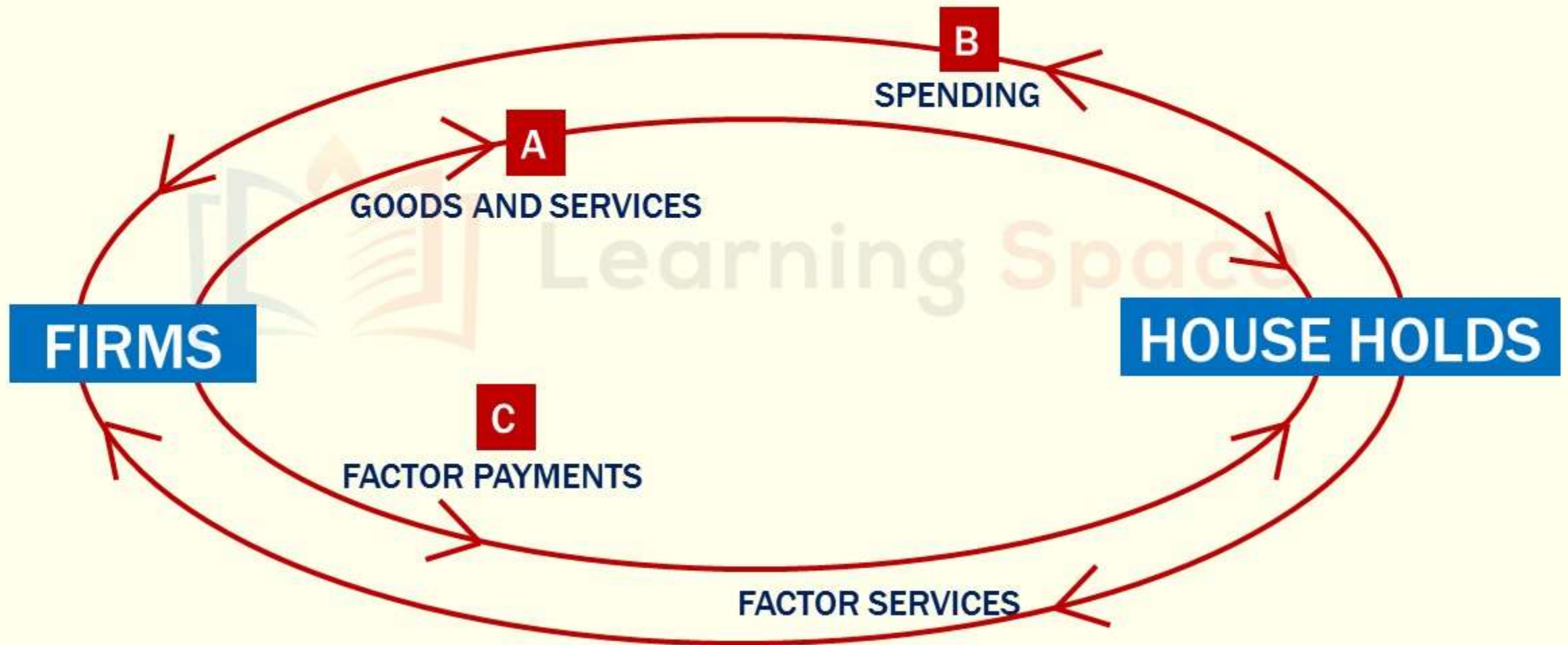
EQUALS

2 Aggregate consumption by the households of the economy

CIRCULAR FLOW OF INCOME



CIRCULAR FLOW OF INCOME



AGGREGATE VALUE OF GOODS AND SERVICES

THEORETICAL CALCULATIONS OF GDP

A

PRODUCT METHOD

Aggregate value of final goods and services produced by all the firms.

B

EXPENDITURE METHOD

Aggregate value of spending that the firms receive for the final goods and services which they produce.

C

INCOME METHOD

Sum total of all the factor payments.

METHOD - 1 PRODUCT OR VALUE ADDED

AGGREGATE VALUE OF GOODS AND SERVICES



- Aggregate value of goods and services produced (normally in a year).
- Wages, interest, profits and rents must add up to the value added.

METHOD - 1 PRODUCT OR VALUE ADDED

AGGREGATE VALUE OF GOODS AND SERVICES



Value Rs. 100



Rs. 400

VALUE ADDED



Value Rs. 500

METHOD - 1

PRODUCT OR
VALUE ADDED

AGGREGATE VALUE OF
GOODS AND SERVICES



Value Rs. 500

Rs. 500

Rs. 1,000 Value tea was sold

VALUE ADDED

METHOD - 1

PRODUCT OR
VALUE ADDED

VALUE ADDED



Rs. 100



Rs. 400



Rs. 1,000

VALUE ADDED

Rs. 300

VALUE ADDED

Rs. 600

METHOD - 1

PRODUCT OR VALUE ADDED



AGGREGATE VALUE OF GOODS AND SERVICES

GOODS AND SERVICES CALCULATION

Gross Value Added (GVA)

= Gross value of the output produced by
the firm – Value of intermediate goods used by
the firm

Net Value Added (NVA)

= GVA – Depreciation

= GVA – Wear and Tear of the capital employed

METHOD - 1 PRODUCT OR VALUE ADDED

NOT TO BE ADDED



1

Transfer payments
like scholarships,
pensions



2

Sale / purchase of
SH items



3

Non-economic
goods



4

Production due to
illegal activities



METHOD - 1

PRODUCT OR
VALUE ADDED

NOT TO BE ADDED



INVESTOR

X



INVESTOR

Y

SALE AND PURCHASE OF SHARES
THROUGH STOCK EXCHANGES



METHOD - 2 EXPENDITURE METHOD

AGGREGATE VALUE OF GOODS AND SERVICES

- 1 Final consumption expenditure denoted by **C** mostly by households.
- 2 Final investment expenditure **I** incurred by the firms on the capital goods.
- 3 The government expenditure on both consumption and investment denoted by **G**
- 4 Net export revenues denoted by **X-M**

METHOD - 2 EXPENDITURE METHOD

AGGREGATE VALUE OF GOODS AND SERVICES

1 C



2 I



METHOD - 2 EXPENDITURE METHOD

AGGREGATE VALUE OF GOODS AND SERVICES

3 **G**



Expressway



Dhola-Sadiya
bridge

4 **X - M**



Exports



Imports

METHOD - 2

EXPENDITURE METHOD

1

FINAL CONSUMPTION EXPENDITURE

C

1



FINAL VALUE OF
GOODS AND
SERVICES

2



RENT ON
OWN HOUSE

3



FEE TO THE
DOCTOR

4



SCHOOL
FEE

METHOD - 2

EXPENDITURE METHOD

2

FINAL INVESTMENT EXPENDITURE

1

1



INCREASE IN
INVENTORY

2



HOUSING
ASSETS

3



CREATION OF
OFFICE SPACE

METHOD - 2

EXPENDITURE METHOD

2

FINAL INVESTMENT EXPENDITURE

1

4



NEW
MACHINERY

5



BULLET TRAIN

METHOD - 2

EXPENDITURE METHOD

3

GOVT. EXPENDITURE, BOTH
INVESTMENT AND
CONSUMPTION

G

2

1



GOVT. OFFICE



REGULAR
SALARIES

METHOD - 2

EXPENDITURE METHOD

3

GOVT. EXPENDITURE, BOTH
INVESTMENT AND
CONSUMPTION

G

1



ECONOMY

METHOD - 2

EXPENDITURE METHOD

4

NET EXPORT
REVENUES

$X - M$



EXPORTS



IMPORTS

ECONOMY

METHOD - 3 INCOME METHOD

AGGREGATE VALUE OF GOODS AND SERVICES

1



WAGES

2



RENT

3



PROFITS

4



INTEREST

ECONOMY

AGGREGATE VALUE OF GOODS AND SERVICES

1

PRODUCT / VALUE ADDED

GROSS VALUE
ADDED FOR FINAL
GOODS AND
SERVICES

2

EXPENDITURE METHOD

C
+ I
+ G
+ X - M

3

INCOME METHOD

P
+ In
+ R
+ W



ECONOMY

AGGREGATE VALUE OF GOODS AND SERVICES

OTHER WAY TO LOOK AT IT!
FROM HOUSEHOLDS PERSPECTIVE

1

CONSUMPTION

C



2

TAXES

T



3

SAVINGS

S



AGGREGATE VALUE OF GOODS AND SERVICES

Hence,

$$C + I + G + X - M = C + S + T$$

$$\therefore I + G + X - M = S + T$$

$$(I - S) + (G - T) = M - X$$

INVESTMENTS - SAVINGS

$$(I - S)$$

+

BUDGET DEFICIT

$$(G - T)$$

=

TRADE DEFICIT

$$(M - X)$$



If there is no
government



If there is no
external trade



Then Investments = Savings

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